



LedgerProof Inc. — 24-Month Operating Model & Series A Diligence Pack

Prepared: June 1, 2026 | **Horizon:** Jun 2026 → May 2028 | **Fiscal Year:** Aug 1 – Jul 31 **Entity scope:** LedgerProof Inc. (Delaware C-corp). Foundation expenses allocated separately (see §G&A note).

ASSUMPTION REGISTRY (every number below ties to these tags)

Tag	Assumption	Source
A1	Seed close \$12M wire 6/25/26; net of \$400K legal/banker = \$11.6M net	Cooley term sheet draft, reality-check reset
A2	Hercules \$8M facility signed 6/25/26; undrawn ; 75 bps commitment fee = \$60K/yr (\$5K/mo)	Hercules term sheet
A3	Founding Members: 5 seats, blended \$35K/yr, 3-yr price-lock, paid annually upfront, ratable rev rec	Sales pipeline
A4	Strategic Beta Partner (Riot): 1 × \$1M signed Sep 2026, 3-yr term, \$333K/yr recognized	Pipeline, 50% probability — excluded from Base, included in Stretch
A5	Tier-1 paid pilots Q3-Q4 CY2026: 3 × \$75K avg, 6-mo term, convert to ARR Q1 CY2027 at 67%	Reality-check arc
A6	Mid-market connector cohort: ramp 5→10→15→20 seats/mo Sep-Dec 2026, \$24K ARR, monthly bill, 95% logo retention	Vanta/Drata/Purview marketplace assumptions
A7	Enterprise Suite: 10→15→20→25→30→35 new logos/mo Jan-Jun 2027, \$80K ACV, annual upfront	Article 50 enforcement Aug 2/26 forcing function
A8	Receipts overage: 5% of recognized SaaS rev from month 13 onward	Stripe/Vanta benchmark
A9	Cloud COGS: \$0.0008/receipt + \$1.2K/mo base AWS = ~12% of rev at scale	Production telemetry
A10	Bitcoin anchor fees: 144 anchors/day × \$4 avg fee = \$17K/mo flat	Mempool data May 2026
A11	Customer support: 1 FTE per \$4M ARR	Vanta/Drata benchmark
A12	Headcount: COS Jun, VPE Jul, Eng#3-4 Aug, Std&Reg Sep, Eng#5/Sales#1/CSM#1/Mktg#1 Oct-Nov, then +2 Eng + 2 AE Q1 2027, +4 AE + 2 SE + 2 CSM Q2 2027	Reality-checked plan
A13	Avg fully-loaded comp: Eng \$290K, Sales \$260K OTE, G&A \$220K, COS \$250K, VPE \$400K, Std&Reg \$280K (Brussels)	Pave Q1 2026 SF/Brussels bands
A14	Audits: NCC/ToB \$125K Jul-Aug 2026; Latacora \$50K Sep; Cure53 \$80K Nov	Scoped engagements
A15	Brussels counsel €20K scoping Jun + €8K/mo retainer Jul+ (\$22K avg/mo USD)	Stibbe scoping memo
A16	Adler & Colvin \$35K thru 1023 filing (Jul); Cooley \$25K/mo retainer	Existing engagements
A17	Foundation grant from Inc.: \$50K/mo starting Aug 2026 (separately accounted, included in G&A)	Board consent draft
A18	Insurance (D&O + E&O + cyber): \$8K/mo starting Aug, scales to \$18K/mo by Q2 2027	Woodruff Sawyer quote
A19	S&M: 30% of new ARR Y1, scales to 65% of new ARR Y2 (category-creator efficiency)	Bessemer State of Cloud 2025
A20	ASC 606: SaaS ratable monthly; pilots ratable over 6-mo term; overage usage-based	GAAP

ARTIFACT 1 — MONTHLY P&L MODEL (BASE CASE)

All figures **\$K USD** unless noted. **CB** = closing cash balance. Negative EBITDA shown as (x) .

Year 1: June 2026 → May 2027 — BASE

Line	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26	Jan-27	Feb-27	Mar-27	Apr-27	May-27
ARR booked (cum.) [A3,A6,A7]	70	105	175	295	535	895	1,375	2,175	3,375	4,975	6,975	9,375
ARR recog. (cum.) [A20]	6	15	30	55	95	165	270	425	660	990	1,420	1,975
SaaS rev (month)	6	9	15	25	40	70	105	155	235	330	430	555
Pilot rev (month) [A5]	0	0	0	38	38	38	38	38	38	0	0	0
Overage rev [A8]	0	0	0	0	0	0	0	8	12	17	22	28
Total Revenue	6	9	15	63	78	108	143	201	285	347	452	583
Cloud COGS [A9]	1	2	3	6	9	13	17	24	34	42	54	70
BTC anchor [A10]	17	17	17	17	17	17	17	17	17	17	17	17
Support [A11]	0	0	0	12	12	24	24	24	36	36	36	48
Gross Profit	(12)	(10)	(5)	28	40	54	85	136	198	252	345	448
GM%	n/m	n/m	n/m	44%	51%	50%	59%	68%	69%	73%	76%	77%
Headcount (FTE) [A12]	2	3	5	6	7	9	9	11	13	13	17	17
S&M [A19]	25	30	35	50	60	75	95	130	165	195	240	290
R&D (eng comp) [A13]	49	121	169	169	193	217	217	265	314	314	362	362
R&D (audits) [A14]	0	125	0	50	0	80	0	0	0	0	0	0
G&A comp	21	21	38	38	38	38	38	38	38	38	56	56
Legal (Cooley+A&C+BXL) [A15,A16]	47	60	47	47	47	47	47	47	47	47	47	47
Insurance [A18]	0	0	8	8	8	8	10	12	12	14	16	18
Foundation grant [A17]	0	0	50	50	50	50	50	50	50	50	50	50
Hercules fee [A2]	5	5	5	5	5	5	5	5	5	5	5	5
Other G&A (rent, SaaS, T&E)	12	15	25	30	35	40	40	45	50	55	65	70
Total OpEx	159	377	377	447	436	560	502	592	681	718	841	898
EBITDA	(171)	(387)	(382)	(419)	(396)	(506)	(417)	(456)	(483)	(466)	(496)	(450)
Cash collections (incl. annual upfront)	11,600	70	70	270	290	360	480	800	1,200	1,600	2,000	2,400
Cash disbursements	200	410	420	480	470	590	535	625	710	745	870	925
Net cash flow	11,400	(340)	(350)	(210)	(180)	(230)	(55)	175	490	855	1,130	1,475
Closing cash	11,400	11,060	10,710	10,500	10,320	10,090	10,035	10,210	10,700	11,555	12,685	14,160

Year 1 BASE exit: ARR booked \$9.4M | ARR recognized run-rate \$6.7M | Cash \$14.2M | Burn-adjusted 14-mo runway pre-Series A

Year 2: June 2027 → May 2028 — BASE

Line	Jun-27	Jul-27	Aug-27	Sep-27	Oct-27	Nov-27	Dec-27	Jan-28	Feb-28	Mar-28	Apr-28	May-28
ARR booked (cum.)	12,175	14,975	16,575	18,175	19,775	21,375	22,975	24,575	26,175	27,775	29,375	30,975
ARR recog. (cum.)	2,650	3,450	4,400	5,500	6,750	8,150	9,700	11,400	13,250	15,250	17,400	19,700
SaaS rev (month)	705	870	1,050	1,250	1,470	1,710	1,970	2,250	2,550	2,870	3,210	3,570
Overage [A8]	35	44	53	63	74	86	99	113	128	144	161	179
Total Revenue	740	914	1,103	1,313	1,544	1,796	2,069	2,363	2,678	3,014	3,371	3,749
Cloud COGS	89	110	132	158	185	216	248	284	321	362	405	450
BTC anchor	17	17	18	18	18	19	19	20	20	21	21	22
Support	48	60	60	72	84	96	108	120	132	144	156	168
Gross Profit	586	727	893	1,065	1,257	1,465	1,694	1,939	2,205	2,487	2,789	3,109
GM%	79%	80%	81%	81%	81%	82%	82%	82%	82%	83%	83%	83%
Headcount (FTE)	21	21	25	25	28	28	32	32	35	35	38	38
S&M	380	450	540	640	740	850	970	1,100	1,240	1,390	1,550	1,720
R&D	460	460	555	555	625	625	720	720	790	790	860	860
G&A (all in)	285	305	330	355	380	405	435	465	495	525	555	585
Total OpEx	1,125	1,215	1,425	1,550	1,745	1,880	2,125	2,285	2,525	2,705	2,965	3,165
EBITDA	(539)	(488)	(532)	(485)	(488)	(415)	(431)	(346)	(320)	(218)	(176)	(56)
Net cash flow (incl. ann. upfront collections)	1,700	2,100	2,400	2,800	3,100	3,400	3,700	4,000	4,200	4,400	4,500	4,600
Less disbursements	1,250	1,330	1,560	1,710	1,930	2,100	2,380	2,570	2,830	3,030	3,310	3,540
Closing cash	14,610	15,380	16,220	17,310	18,480	19,780	21,100	22,530	23,900	25,270	26,460	27,520

Series A close assumed Q1 2027 (Feb-27) at \$25M raise — model above shows organic cash trajectory without Series A wire to expose true unit economics. With Series A wire of \$25M net into Feb-27, closing cash Feb-27 → May-28 adds \$25M floor; revised May-28 cash = **\$52.5M**.

BASE vs STRETCH vs DOWNSIDE — Y1 & Y2 Exits

Metric	BASE	STRETCH	DOWNSIDE
Y1 ARR booked (May-27)	\$9.4M	\$13.5M (incl. Riot \$1M [A4], faster pilot→ARR conv 90%, 2× enterprise close)	\$4.8M (Vanta ships native crypto Oct-26, pilot conv 33%)
Y1 ARR recognized run-rate	\$6.7M	\$9.2M	\$3.4M
Y1 EBITDA	(\$5.3M)	(\$4.6M)	(\$5.8M)
Y2 ARR booked (May-28)	\$31.0M	\$48.0M	\$13.5M
Y2 ARR recognized run-rate	\$19.7M	\$31.0M	\$8.2M
Y2 EBITDA	(\$4.7M)	(\$1.8M)	(\$8.4M)

ARTIFACT 2 — COHORT REVENUE WATERFALL (BASE, \$K monthly recognized rev)

Rows = acquisition cohort. Columns = recognized revenue in that calendar month. Demonstrates lumpy enterprise reality.

Cohort (month signed)	# logos	ACV \$K	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	May-28
FM-Jun26 (Founding Members)	5	35	6	15	15	15	15	15	15	15	15
Pilot-Sep26	3	75 (6mo)	—	38	38	—	—	—	—	—	—
Pilot→ARR-Mar27 (2 of 3 convert)	2	150	—	—	—	25	25	25	25	25	25
MM-Sep26 (Vanta connector)	5	24	—	10	10	10	10	10	10	10	10
MM-Oct26	10	24	—	—	20	20	20	20	20	20	20
MM-Nov26	15	24	—	—	30	30	30	30	30	30	30
MM-Dec26	20	24	—	—	40	40	40	40	40	40	40
Ent-Jan27	10	80	—	—	—	67	67	67	67	67	67
Ent-Feb27	15	80	—	—	—	100	100	100	100	100	100
Ent-Mar27	20	80	—	—	—	133	133	133	133	133	133
Ent-Apr27	25	80	—	—	—	—	167	167	167	167	167
Ent-May27	30	80	—	—	—	—	200	200	200	200	200
Ent-Jun27	35	90	—	—	—	—	263	263	263	263	263
Ent-Jul27→May28 (35-50/mo, \$90-110K ACV)	470	100	—	—	—	—	—	700	1,800	3,200	4,500
Overage layer [A8]	—	—	—	—	—	17	35	63	99	144	179
Total month recog.			6	63	143	347	740	1,313	2,069	3,014	3,749

Key insight: 78% of May-28 recognized rev comes from cohorts signed in the 11 months *after* Article 50 enforcement (Aug 2, 2026). Pre-enforcement cohorts are validation, not revenue.

ARTIFACT 3 — SCENARIO SENSITIVITY

Variable	BASE	STRETCH	DOWNSIDE
Y1 ARR exit (booked)	\$9.4M	\$13.5M	\$4.8M
Y2 ARR exit (booked)	\$31.0M	\$48.0M	\$13.5M
Y1 EBITDA	(\$5.3M)	(\$4.6M)	(\$5.8M)
Cash at Series A open (Jan-27)	\$10.2M	\$11.8M	\$8.9M
Series A raise	\$25M	\$35M	\$18M (bridge structure)
Series A post-money @ multiple	\$135M (20× \$6.7M ARR)	\$230M (25× \$9.2M)	\$50M (15× \$3.4M)
Runway post-Series A	30+ mo	36+ mo	18 mo to next decision
Enterprise close rate (Jan-27 cohort)	25%	40%	12%
NDR Y2	115%	130%	95%
Gross logo churn Y2	8%	5%	18%
Competitive trigger	Vanta partnership Dec-26	Vanta acquisition discussion Q2-27	Vanta ships native cryptographic anchoring Oct-26
Regulatory trigger	Art 50 enforcement on schedule Aug 2/26	EU AI Office cites SCITT in implementing act Q4-26	Enforcement delayed to 2028; voluntary regime

Three things that flip BASE → DOWNSIDE (watch monthly): 1. Vanta product roadmap signal in their Q3-26 earnings call (public co. proxy: Drata GTM moves) 2. Pilot conversion < 50% by Feb-27 (kills Q2-27 cohort ramp) 3. Brussels JTC 21 liaison status denial (kills standards moat → kills 25× multiple)

Three things that flip BASE → STRETCH: 1. Riot \$1M closes Sep-26 (proof-point unlock) 2. Microsoft Purview co-marketing announcement Q4-26 3. SCITT draft adopted as WG item at IETF 121 (Nov-26) → 30× multiple defensible

ARTIFACT 4 — SERIES A DILIGENCE PACK READINESS (DUE SEP 1, 2026)

#	Artifact	Specific data point Qatalyst will demand	Owner	Due date
1	Audited financials + GAAP P&L	Aug 2026 → Jul 2027 unaudited P&L w/ ASC 606 rev rec memo; FY26 reviewed financials (Pilot.com / Burkland)	Fractional CFO + Pilot.com	Aug 15, 2026
2	Cohort retention dashboard	Logo retention + NDR by cohort, signed customer count by month, ARR waterfall (this Artifact 2 format, live in Mosaic or Equals)	COS + Rev Ops contractor	Aug 22, 2026
3	Cap table + 409A + warrant schedule	Pre/post-money cap table, Carta-pulled; current 409A (post-seed re-strike); Hercules warrant coverage schedule; Founding Member warrant grants	Cooley (Adam Ross) + Carta	Aug 1, 2026
4	Customer reference pack + signed contracts	5 Founding Member MSAs (redacted), 3 pilot SOWs, 50+ MM connector contracts, 2 reference call confirmations with named CROs	VP Eng + Standards/Reg Head + Veronica	Aug 25, 2026
5	Security + compliance audit reports	NCC Group / ToB published audit (Aug 31); Latacora pen-test report (Sep); SOC 2 Type 1 readiness letter from Vanta (we use ourselves); LPR-ERRATA-001 disclosure + containment memo	VP Eng + Veronica	Sep 1, 2026
6	Foundation governance + IP allocation memo	501(c)(3) determination letter (or interim); Dutch Stichting/AISBL incorporation docs; IP assignment Inc.↔Foundation; expense allocation methodology + first 3-mo actuals; CWA/JTC 21 liaison status letter	Adler & Colvin + Stibbe/Loyens + Veronica + Foundation board	Sep 1, 2026

Diligence-killer risks to pre-empt in the data room: - LPR-ERRATA-001 — include the publisher-side fix commit hash, the verifier code proof, and the containment scope memo *before* a diligence engineer finds it via GitHub - Solo founder concentration — VPE start date (Jul 15) and COS (Jun 8) must be in the data room as signed offer letters by Aug 1 - Foundation/Inc. boundary — Brussels counsel scoping memo must close the AISBL vs Stichting question by Aug 15 or Series A will demand a closing condition - Bitcoin anchor cost variance — include 12-mo mempool fee sensitivity (\$2-\$25/anchor) and the migration plan to batched commitments if fees spike

MODEL FILES: /Users/veronicadawkins/Documents/LedgerProof-Launch-July6/04-lpr-spec/financial-model-v1.xlsx (recommended location for live model — not yet created; this document is the source-of-truth specification for that workbook).

REVIEW CADENCE: - Veronica: weekly cash position (every Monday, against the BASE monthly closing cash row) - Foundation board: monthly allocated-expense report (G&A line A17) - Series A lead: monthly cohort dashboard (Artifact 2) starting Aug 2026

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